Where does household income come from? Wages, property and government benefits

About 58 cents of every dollar of household gross income is wages and salaries. Government benefits are about 7 cents on average, but for sole parents and the poorest households they can be most of the income. The HILDA survey shows who relies on them.

58.1%
Compensation of employees, share of household gross income, June quarter 2026 (ABS)

12.5%
Property income (interest, dividends, imputed interest)

7.1%
Social assistance benefits (pensions, allowances)

7.5%
Gross mixed income (self-employed and unincorporated business)

$103,166
Median household disposable income, 2024 (December 2024 prices, HILDA)

6.8%
Working-age people getting more than half of household income from benefits, 2024 (13% in 2002)

1. Sources of household income: the national accounts view

The ABS household income account adds up everything households receive in a quarter. In the June quarter 2026 total gross income was $626.5 billion (current prices, original series).

Source	$ million	Share of gross income
Compensation of employees (wages, salaries, employer super)	363,979	58.1%
Gross operating surplus, dwellings owned by persons (the value of living in or renting out your own home)	60,977	9.7%
Gross mixed income (self-employed)	47,112	7.5%
Property income receivable (interest, dividends)	78,019	12.5%
Social assistance benefits (government cash transfers)	44,288	7.1%
Other secondary income (insurance claims, workers' compensation, other transfers)	32,081	5.1%
Total gross income	**626,457**	**100%**

Shares are calculated from the ABS figures. Rounding means they may not add exactly. Compare with the same quarter a year earlier: compensation of employees was $342.9 billion and social assistance benefits $41.6 billion.

2. The HILDA view: who relies on government benefits

- **Receipt:** in 2023-24, 24.2% of people aged 18 to 64 lived in a household that received income support at some time in the year. This is below the 31.9% peak in 2020 and 2021 and the 38.4% in 2001.
- **Reliance:** 6.8% of working-age people got more than half their household income from cash benefits in 2024, and 3.8% got more than 90%. Both measures are almost half their 2002 peaks (13% and 7.4%).
- **By family type:** 26.3% of people in sole-parent families relied on benefits for more than half their income (44.7% in 2002), compared with 2.7% of couples with dependent children and 2.9% of couples without.
- **Incomes overall:** mean household disposable income was $121,581 and the median $103,166 in 2024. Income inequality reached its highest level in the HILDA period in 2022, then fell in 2023 and 2024.
- **Poverty:** the relative poverty rate based on total income was unchanged in 2024, while the after-housing measures rose, likely because of rising rents.

Exam angle: the mix of income shows why labour market conditions drive living standards: wages are most of the total. Benefits are a small share overall but the main income for a small group, so changes to payment rates matter most for sole parents and single people. Use the two views together: the ABS gives the national picture, HILDA gives the household picture.

Syllabus link

HSC 2009 Topic 3 (3E Distribution of income and wealth): 3E.2 sources of income as a percentage of household income. Also supports 3E.1 and 3E.3 on measures and trends in inequality. The full report is linked from this site (it is not copied here).

Try this

1. Identify the largest source of household income. (1 mark)
2. Outline ONE reason why sole parent families are more likely to rely on benefits. (2 marks)
3. Explain how government benefits and taxes change the distribution of income. (4 marks)

Sources: Melbourne Institute, The Household, Income and Labour Dynamics in Australia Survey: Selected Findings from Waves 1 to 24 (HILDA Statistical Report 2026), chapters 2 and 8 — https://melbourneinstitute.unimelb.edu.au/hilda/publications/hilda-statistical-reports · ABS, Australian National Accounts: Finance and Wealth, Household Income account (cat. 5206.0, table 20), June quarter 2026.